EG China: Confident policymakers will avoid consumption policy shift at Politburo meeting

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【メール原文】

China

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Confident policymakers will avoid consumption policy shift at Politburo meeting

Short-term trajectory:

Long-term trajectory:

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* Following the enactment of the 15th Five-Year Plan and China's display of resilience amid Iran conflict-driven energy disruptions, Chinese leaders feel confident and do not plan to shift economic policy toward consumption.
* This week's Politburo economic meeting will likely signal targeted support for the economy, but Beijing still favors fine-tuning current policies over moves that would redirect growth toward household demand.
* Greater flexibility from local authorities may reduce day-to-day compliance burdens for foreign firms, but national-level priorities can still trigger abrupt regulatory tightening.

China's leadership does not view recent weak economic data as a crisis. Officials, scholars, and business contacts have repeatedly told Eurasia Group that subpar outcomes, including below-target GDP growth in the second quarter, remain far from the kind of disruption, such as food or energy shortages, that could generate broad public discontent. Many have also cited Beijing's management of the fallout from the Iran conflict and the stabilization of US-China ties in 2026 as evidence that external shocks can be contained without broader spillovers. Years of lower public expectations for growth have further strengthened that confidence.

The proximity of the 21st Party Congress in 2027 will reinforce status quo approaches. Officials assess events through a political lens, and the party holds cadres to stricter political standards. Major policy shifts remain risky unless President Xi Jinping explicitly endorses them. Contacts suggest that officials who pursue bold measures in governance face lasting stigma if those steps fail, while those who do too little risk criticism for failing to demonstrate the right governance priorities. A Chinese Communist Party campaign launched in February 2026 to encourage greater individual initiative has sharpened that tension. Under these conditions, the safest course for many officials is to limit action to executing guidance from above.

Beijing has shown little appetite for a policy shift toward boosting household demand. Authorities are willing to accept slower growth in pursuit of the longer-term goals of building technological and industrial power. In the first half, they increased spending on social protection and healthcare while deleveraging proceeded in debt-burdened sectors and local government finance (please see China Weekly: Beijing will hold back on stimulus despite low GDP growth , 16 July 2026). Beijing is willing to accept short-term economic costs to advance long-term economic priorities. In Xi's mind, shifting resources to support household demand would undermine these priorities.

Beijing is therefore likely to maintain the focus of economic policy on measures to stabilize growth and prevent disorder. These include targeted stimulus, credit support, state-led backing for strategic industries, and debt control. Policies that would support household income more directly, such as stricter enforcement of wage and labor laws, could help over time. But they would also raise costs for the producers Beijing relies on to build strategic industries.

This week's Politburo meeting on the economy is expected to reinforce this approach. Beijing may signal additional fiscal support for infrastructure and further targeted measures for areas such as tourism and training services, but those steps should not be interpreted as evidence of a structural shift. A policy move like that of the September 2024 Politburo meeting, when Beijing sharply increased support for the housing market and the broader economy, appears unlikely.

Local government special-purpose bond issuance is an important part of Beijing's toolkit. As a source of funding for local investment and infrastructure, the bonds are a key driver of domestic demand. Issuance often slows in the second quarter because of first quarter frontloading by local governments; it can rise again in the third or fourth quarters if Beijing decides growth needs additional support. Fiscal policy remains available as a countercyclical tool, but it is being used to manage the slowdown rather than drive a deeper shift toward household-led growth.

The operating environment will therefore remain uneven. Sectors aligned with Beijing's strategic priorities or local development goals will remain better positioned for support, while sectors tied to discretionary consumption or sensitive compliance issues will face a tougher outlook.

Local governments remain important counterparts for firms managing policy risk. Beijing's commitment to its current strategy puts local governments in a difficult position. They still need growth, jobs, and investment, but they must work within a national system that remains cautious. In practice, that means local officials are more likely to interpret, sequence, and selectively enforce guidance from above than to propose new policy directions. As a result, they will often apply rules more flexibly where foreign firms matter to local economic goals. Recent Eurasia Group conversations in Shanghai, for example, suggest local authorities have taken a pragmatic approach to data compliance, helping foreign-invested firms address potential issues before imposing penalties. That may ease day-to-day pressure in some cities, but it does not signal broader national relaxation. The national system remains cautious and can still produce uneven enforcement or sudden tightening.

EG China

china@eurasiagroup.net

Mingda Qiu

Senior Analyst, China & Northeast Asia

qiu.ne@eurasiagroup.net

David Meale

Practice Head, China

2025405135

Meale@eurasiagroup.net

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Explanation of Political Trajectories (ie, “Trajectories”)

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group’s country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment